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Applied Materials Orders Hit Record High, as Profit Surges

Share price jumps on news, as company offers strong guidance for current quarter

By Ezequiel Minaya

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Applied Materials Inc. **AMAT -4.29%** ▼ on Thursday said orders reached another record high in its third quarter, following a 15-year high the previous three months, as profit surged, stirring hope for robust results in coming quarters.

The price of shares in the company has risen 67% over the past 12 months, and it climbed 5.5% after hours to \$29.20, also boosted by strong guidance for the current quarter.

For the October quarter, the company said it expects adjusted earnings per share of between 61 cents and 69 cents, while analysts surveyed by Thomson Reuters expect a more-modest 48 cents. The maker of semiconductor manufacturing tools said record-high orders bode well for results in coming months.

The buoyant order momentum continued into the third quarter from the previous three months. Analysts had expected orders in the period to be around \$2.71 billion, which was well below the \$3.66 billion actually posted by the company, a 26.5% jump from a year ago.

In the second quarter, orders exceeded the average of analysts' expectations on FactSet by 41% at \$3.45 billion, a 37% jump from a year earlier. Company officials had

attributed that order surge in part to shifting manufacturing methods for certain chips used in mobile devices that call for stacking layers of circuitry rather than shrinking transistors.

The Santa Clara, Calif., company sells equipment to make chips used in a wide range of products, including mobile phones. Its machines are also used to make displays for TVs and other products.

Profit for the latest quarter was stronger-than-expected, though revenue disappointed the market. Applied said profit rose to \$505 million from \$329 million a year earlier. On a per-share basis, earnings rose to 46 cents from 27 cents a year earlier, in part reflecting a lower share count. Revenue rose 13.3% to \$2.82 billion.

Excluding certain items, per-share profit rose to 50 cents from 33 cents a year ago.

The company had forecast adjusted earnings for the third quarter of between 46 cents and 50 cents, with revenue at about \$2.84 billion. Analysts had projected adjusted earnings of 48 cents on revenue of \$2.84 billion.

In June, Applied set a fresh \$2 billion share-buyback program, following the completion of its \$3 billion program initiated last year. It didn't provide a time frame for when it plans to repurchase its shares.

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Ezequiel Minaya is a former reporter for The Wall Street Journal. He is no longer with the Journal. A New York City native, Ezequiel worked at the Los Angeles Times; McClatchy newspapers in Fresno and Modesto; and The Press-Enterprise near Los Angeles. He also reported for the Houston Chronicle. He spent 13 months as an embedded war...

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